PRESENTED BY: **MA'AM KIM**

OCTOBER 2026

BOOKS OF ACCOUNTS

ICE BREAKER

“PAUTANG OR UTANG?”

- Imagine our class runs a small clothing brand. We don't deal with cash today— only PROMISES.
- I will read 5 quick situations.
- Raise your LEFT hand if it's Pautang (someone owes us),
- Raise your RIGHT hand if it's Utang (we owe someone)

PAUTANG OR UTANG?

A school dance team takes 20 custom hoodies and promises to pay us next week.

PAUTANG OR UTANG?

A school dance team takes 20 custom hoodies and promises to pay us next week.

PAUTANG OR UTANG?

We order 50 blank t-shirts from a textile factory and told them that we will pay next month.

PAUTANG OR UTANG?

We order 50 blank t-shirts from a textile factory and told them that we will pay next month.

PAUTANG OR UTANG?

Nadine Lustre takes 3 luxury dresses for a shoot and signs a promise to settle the bill next month.

PAUTANG OR UTANG?

Nadine Lustre takes 3 luxury dresses for a shoot and signs a promise to settle the bill next month.

PAUTANG OR UTANG?

We take 5 boxes of fabric ink from a vendor and add it to our monthly running tab.

PAUTANG OR UTANG?

We take 5 boxes of fabric ink from a vendor and add it to our monthly running tab.

PAUTANG OR UTANG?

Star Magic orders 10 custom jackets and promises to pay next month.

PAUTANG OR UTANG?

Star Magic orders 10 custom jackets and promises to pay next month.

PRESENTED BY: **MA'AM KIM**

OCTOBER 2026

BOOKS OF ACCOUNTS

SALES JOURNAL

(SALES ON ACCOUNT JOURNAL)

A Sales Journal (Sales on Account Journal) is used to record all sales on credit (on account). The source document for this journal is the Charge Invoice issued by the business

SALES JOURNAL					
DATE	DESCRIPTION (CUSTOMER NAME)	REF	Charge Invoice or Sales Invoice No.	Debit	Credit
				Accounts Receivable	Sales



The date of the transaction is entered in the date column.

SALES JOURNAL					
DATE	DESCRIPTION (CUSTOMER NAME)	REF	Charge Invoice or Sales Invoice No.	Debit	Credit
				Accounts Receivable	Sales



A brief explanation of the transaction.

SALES JOURNAL					
DATE	DESCRIPTION (CUSTOMER NAME)	REF	Charge Invoice or Sales Invoice No.	Debit	Credit
				Accounts Receivable	Sales

(which stands for Reference) which is left blank when the journal entry is made. This column is used later when the journal entries are transferred to the ledger accounts.

SALES JOURNAL					
DATE	DESCRIPTION (CUSTOMER NAME)	REF	Charge Invoice or Sales Invoice No.	Debit	Credit
				Accounts Receivable	Sales

Represents the identifying number of the source document issued to the customer when the sale was made.

SALES JOURNAL					
DATE	DESCRIPTION (CUSTOMER NAME)	REF	Charge Invoice or Sales Invoice No.	Debit	Credit
				Accounts Receivable	Sales

The Debit Accounts Receivable column records the amount the customer owes our business. (money we will collect later).

SALES JOURNAL					
DATE	DESCRIPTION (CUSTOMER NAME)	REF	Charge Invoice or Sales Invoice No.	Debit	Credit
				Accounts Receivable	Sales

The Credit Sales column records the revenue or sale earned from the merchandise sold to the customer.



EXAMPLE:

On October 21, 2026, you sold 50 cups of Milk Tea worth ₱5,000 to Rizal High School for an event on credit. You gave them Sales Invoice No. 101.

SALES JOURNAL					
DATE	DESCRIPTION (CUSTOMER NAME)	REF	Charge Invoice or Sales Invoice No.	Debit	Credit
				Accounts Receivable	Sales
Oct. 21,2026	Rizal High School 50 cups milk tea for event		101	5,000	5,000

EXAMPLE

On Nov 9, 2026, our Clothing Store delivered 30pcs custom designed T-Shirt for a Teachers' seminar at Dado Learning Center on credit. We handed them Charge Invoice No. 103 for ₱26,000.

WHO WANTS TO VOLUNTEER?

On Nov 14, 2026, our Bakery Shop delivered a 50 pcs order of pastries for a teachers' seminar at Dado Learning Center on credit. We handed them Charge Invoice No. 104 for ₱15,000.

PURCHASE JOURNAL

(PURCHASE ON ACCOUNT JOURNAL)

A Purchase Journal (Purchase on Account Journal) is used to record all purchases of inventory on credit (or on account)

PURCHASE JOURNAL					
DATE	DESCRIPTION (SUPPLIER'S NAME)	REF	Charge Invoice or Sales Invoice No. (from supplier)	Debit	Credit
				Purchases	Accounts Payable



The date of the transaction is entered in the date column.

PURCHASE JOURNAL					
DATE	DESCRIPTION (SUPPLIER'S NAME)	REF	Charge Invoice or Sales Invoice No. (from supplier)	Debit	Credit
				Purchases	Accounts Payable



A brief explanation of the transaction.

PURCHASE JOURNAL					
DATE	DESCRIPTION (SUPPLIER'S NAME)	REF	Charge Invoice or Sales Invoice No. (from supplier)	Debit	Credit
				Purchases	Accounts Payable

(which stands for Reference) which is left blank when the journal entry is made. This column is used later when the journal entries are transferred to the ledger accounts.

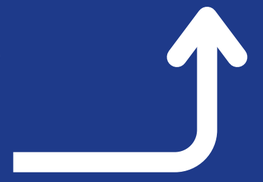
PURCHASE JOURNAL					
DATE	DESCRIPTION (SUPPLIER'S NAME)	REF	Charge Invoice or Sales Invoice No. (from supplier)	Debit	Credit
				Purchases	Accounts Payable



The <u>Charge Invoice Number or Sales Invoice Number</u> represents the identifying number of the source document issued by the supplier when the items, goods or merchandise were delivered to the company when the purchase was made.

PURCHASE JOURNAL					
DATE	DESCRIPTION (SUPPLIER'S NAME)	REF	Charge Invoice or Sales Invoice No. (from supplier)	Debit	Credit
				Purchases	Accounts Payable

The Debit Purchases column records the cost of the goods, items, or merchandise our business bought as indicated in the charge invoice from the supplier.



PURCHASE JOURNAL					
DATE	DESCRIPTION (SUPPLIER'S NAME)	REF	Charge Invoice or Sales Invoice No. (from supplier)	Debit	Credit
				Purchases	Accounts Payable

The Credit Accounts Payable column records the debt or amount we owe to the supplier. This tracks our increasing liabilities (money we must pay later)



EXAMPLE:

On Oct. 21, 2026, we bought 15 bottled syrups worth ₱4,000 from Sweet Syrups Co. on credit under Supplier Invoice No. 1044.

PURCHASE JOURNAL					
DATE	DESCRIPTION (SUPPLIER'S NAME)	REF	Charge Invoice or Sales Invoice No. (from supplier)	Debit	Credit
				Purchases	Accounts Payable
Oct. 21,2026	Sweet Syrups Co. 15 bottled syrups		1044	4,000	4,000

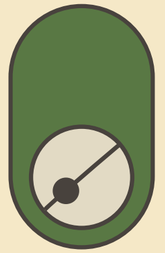
EXAMPLE

On Nov 11, 2026, our shop bought ₱10,500 worth of coffee beans from CoffeeBee Corp on account. They delivered the coffee beens along with Supplier Invoice No. 4519.

WHO WANTS TO VOLUNTEER?

On Nov 12, 2026, our shop bought ₱8,500 worth of tea leaves and creamer powders from Golden Leaf Traders on account. They delivered the goods along with Supplier Invoice No. 4521.

WHAT'S THE DIFFERENCE?



SALES JOURNAL

- Records transactions when our business sells merchandise on credit (customers buy now, pay later).
- Tracks Customers who owe money to our business.
- Uses the Charge Invoice or Sales Invoice issued by our business to the customer.
- NO CASH ALLOWED

VS.

PURCHASE JOURNAL

- Records transactions when our business buys merchandise or supplies on credit (we buy now, pay suppliers later).
- Tracks Suppliers / Vendors to whom our business owes money.
- Uses the Charge Invoice or Sales Invoice received from the supplier.
- NO CASH ALLOWED

IDENTIFY WHICH JOURNAL TO USE

- On Nov 3, 2026, our shop bought 500pcs. of plastic cups worth ₱10,000 from ABC Packaging on credit. They gave us Supplier Invoice No. 8892.

ANSWER: ?

IDENTIFY WHICH JOURNAL TO USE

- On Nov 3, 2026, our shop bought 500pcs. of plastic cups worth ₱10,000 from ABC Packaging on credit. They gave us Supplier Invoice No. 8892.

ANSWER: **PURCHASE JOURNAL (PJ)**

IDENTIFY WHICH JOURNAL TO USE

- On Nov 5, 2026, we delivered ₱3,000 worth of fruit teas to the Mayor's Office on account, issuing Charge Invoice No. 102.

ANSWER: ?

IDENTIFY WHICH JOURNAL TO USE

- On Nov 5, 2026, we delivered ₱3,000 worth of fruit teas to the Mayor's Office on account, issuing Charge Invoice No. 102.

ANSWER: SALES JOURNAL (SJ)